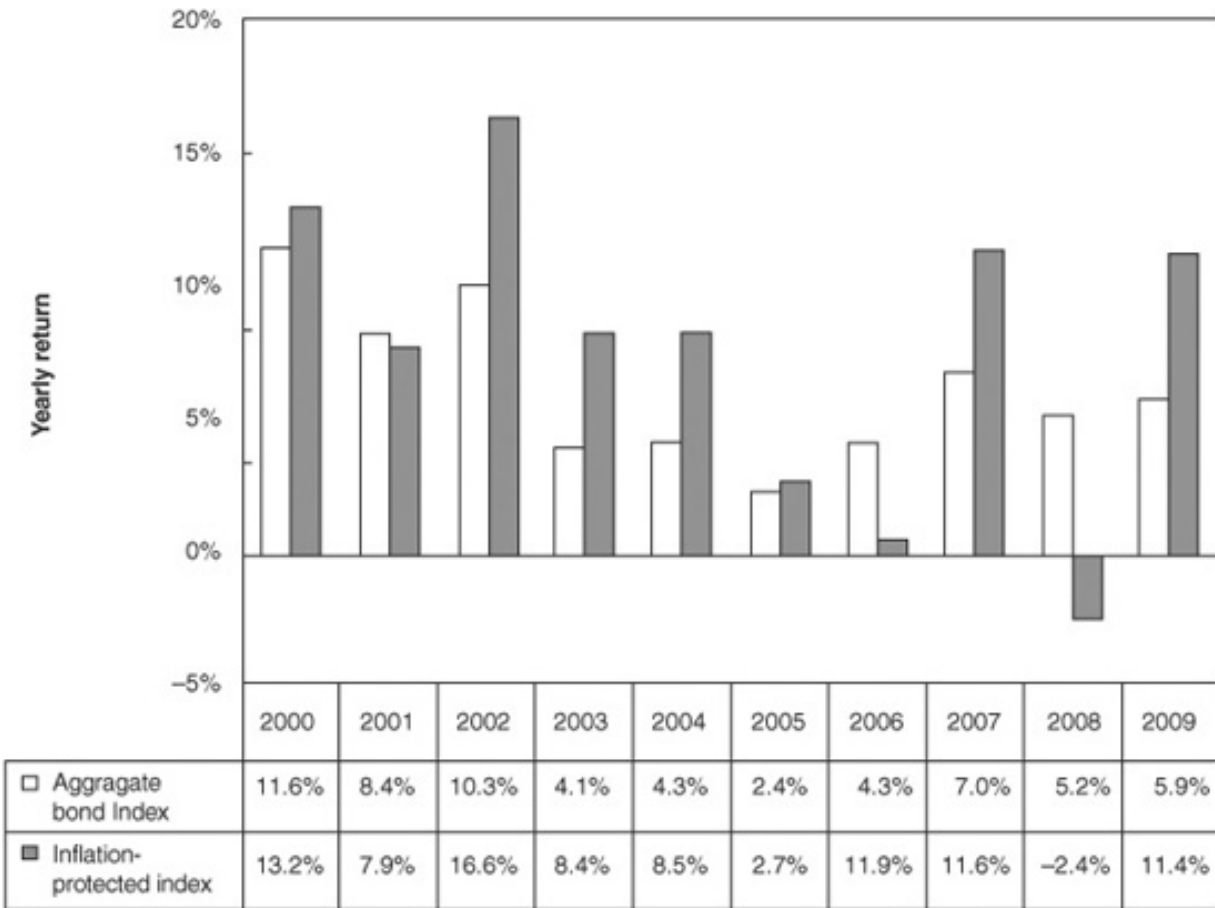


FIGURE 8-8

Comparing Barclays Capital U.S. Aggregate Bond Index Returns to the Barclays Capital TIPS Index



The U.S. Treasury issued the first inflation-protected securities in 1997. The annual return of TIPS since 2000 is highlighted in [Figure 8-8](#). That figure gives you a good idea of the difference in return that can occur between TIPS and the Barclays Capital Aggregate Bond Index. TIPS are not a component of that index.

U.S. Treasury iBonds are also a type of inflation-protected security that offers a way to save that protects the purchasing power of an investment. Like TIPS, the interest and inflation gains from iBonds are exempt from state and local income taxes. In addition, there are a few features that make iBonds more attractive than TIPS. First, they are sold at face value in small denominations of \$50, \$75, \$100, \$200, \$500, \$1,000, and \$5,000. Second, federal income tax on iBonds earnings can be deferred until the bonds are cashed in or they stop earning interest after 30 years. Third, earnings may